

Suitability Report

Client: **Mrs Katherine Chen** Adviser: **John Smith, DipPFS** Pension Transfer Specialist: **Alison Reed, APFS, G60** Report date: 14 March 2026

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1. Recommendation (in plain English)

I recommend you transfer the £145,000 cash equivalent transfer value from your Meridian Engineering defined-benefit pension scheme into a new Aviva flexi-access drawdown personal pension, combined with your existing Aviva personal pension. This gives you flexibility over how and when you take income, and the ability to leave any residual fund to your nieces. It does mean giving up the guaranteed £4,200 per year income you would have received at age 65 from the Meridian scheme, and a 50% spouse's pension. You have told me that flexibility and inheritance matter more to you than the guaranteed income, because your husband's pension and your State Pension already cover your essential living costs.

2. Target Market Statement

The Aviva flexi-access drawdown personal pension is designed for clients aged 55+ who wish to access their pension flexibly, can accept investment risk, and have sufficient secure income from other sources to meet essential needs. Mrs Chen falls within this target market: she is 64, her household essential income is secured by her spouse's DB pension and her State Pension, she has a Moderate attitude to risk, and she has expressed a clear preference for flexibility over guaranteed income.

3. Reasons For Recommending Transfer

- **Flexibility:** You can vary your withdrawals year to year. The Meridian scheme would pay a fixed escalating income with no flexibility.
- **Inheritance:** Any residual fund can pass to your nieces, typically free of inheritance tax if death occurs before age 75 (subject to the lump sum and death benefit allowance). The Meridian scheme would pay a 50% spouse's pension but nothing to your nieces.
- **Planned lump sums:** You have specific travel plans in years 1–5 totalling approximately £45,000. The Meridian scheme would not allow ad hoc lump sums of this scale.
- **Household income security:** Your essential expenditure is already met by secure income sources independent of the Meridian scheme.

4. Reasons Against Transfer (risks and trade-offs)

You need to understand the following before proceeding. Please read each point carefully:

- **Loss of guarantee:** You lose the £4,200 pa guaranteed escalating income at 65 and the 50% spouse's pension. Once transferred, this decision is **generally irreversible**.
- **Investment risk:** The £145,000 transferred value will be invested in the Helios Moderate Model Portfolio 3. Its value can fall as well as rise. A 25% fall would reduce the transferred portion to approximately £108,750 in the short term.
- **Longevity risk:** If you live into your 90s, flexible drawdown may not produce the same lifetime income the DB scheme would have. A projection to age 95 at 4.5% growth with £15,000 pa withdrawals in years 1–5, £10,000 pa thereafter, suggests the fund may be exhausted around age 89–91 on central assumptions.

- **Critical yield shortfall:** The Transfer Value Analysis shows the critical yield required to match the DB scheme benefits is 8.2% pa. The recommended growth assumption is 4.5% pa. This is a material shortfall you have accepted in return for the flexibility and inheritance benefits above.

5. Why Not an Alternative?

Keeping the DB scheme: would provide guaranteed income but no flexibility or inheritance benefit for your nieces. You have stated these matter more to you.

Partial transfer: not available under the Meridian scheme rules.

Alternative DC provider (e.g. AJ Bell, Hargreaves Lansdown): Aviva selected as the receiving scheme on the basis of platform cost, investment choice (access to the Helios model portfolio), service quality, and your existing relationship with Aviva's admin (you have an existing Aviva personal pension which will be consolidated into the same arrangement).

6. Vulnerability

You have been flagged as potentially vulnerable under the health driver (osteoarthritis). We have taken extra care to: (a) confirm you understand the risks in your own words, (b) offer you a two-week cooling-off period before final paperwork, (c) explicitly invite you to discuss this with your husband or another trusted family member before signing. You have confirmed you are satisfied with the recommendation after discussing with your husband.

7. Value for Money

The recommended arrangement offers fair value for you: the total ongoing cost of approximately 0.92% per annum (platform, fund, and ongoing adviser charge combined) is in the median range for advised drawdown arrangements. In return, you receive: the Helios Moderate model portfolio, quarterly portfolio review, an annual face-to-face review, access to the Aviva client portal, and our ongoing suitability monitoring. Aviva product literature confirms the platform's service levels meet industry benchmarks.

8. Ongoing Service

You will receive:

- An annual face-to-face review meeting (typically October each year)
- A quarterly portfolio review and rebalance
- An annual valuation and tax summary
- Unlimited access to the adviser for ad hoc questions
- Written response to any query within 3 business days

You may cancel the ongoing service at any time by writing to us; the ongoing charge will stop from the following month.

9. Declarations

I confirm that this recommendation is suitable for Mrs K. Chen based on the information gathered in the Fact Find dated 14 March 2026. I have considered the alternatives described in section 5 and have explained the risks described in section 4. I have no conflicts of interest to disclose in relation to this recommendation. The Pension Transfer Specialist Alison Reed has independently reviewed and approved the transfer recommendation.

Adviser: John Smith, DipPFS **Signed:** J. Smith **Date:** 14 March 2026

Pension Transfer Specialist: Alison Reed, APFS, G60 **Signed:** A. Reed **Date:** 14 March 2026

I confirm I have read and understood this Suitability Report, the risks described, and the costs in the separate Costs & Charges disclosure. I wish to proceed.

Client: K. Chen **Signed:** K. Chen **Date:** 14 March 2026